CLOSING STATEMENT

Pelican Prairie Market Lofts | Cleveland, OH

Property	Pelican Prairie Market Lofts
Settlement Date	July 27, 2022
Buyer	Vireo Income Properties
Seller	Pemberton Real Estate Fund III
Sale Price	$124,740,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$124,740,000			
Earnest money deposit		$231,690	$231,690	
Real estate tax proration	$27,006			$27,006
Rent proration			$1,084,624	
Security deposits assumed	$46,238	$46,238		
Prepaid rents			$943,704	$943,704
Owner's title policy premium	$1,049,633			
Lender's title policy premium		$712,657	$712,657	
Escrow fee	$901,176			$901,176
Recording fees			$270,289	
Transfer tax	$37,387	$37,387		
Survey			$558,735	$558,735
Legal fees - Buyer	$174,909			
Legal fees - Seller		$118,759	$118,759	
Broker commission	$347,818			$347,818
Loan origination fee			$1,087,588	
Lender legal	$818,797	$818,797		
Appraisal fee			$954,234	$954,234
Environmental report	$713,798			
Property condition report		$588,997	$588,997	
Tax escrow deposit	$102,331			$102,331
Insurance escrow deposit			$341,603	
Replacement reserve deposit	$1,245,651	$1,245,651		
Utility deposits			$693,872	$693,872

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$124,740,000			
Legal fees - Seller		$754,806	$754,806	
Broker commission	$207,236			$207,236
Loan origination fee			$1,000,847	
Lender legal	$868,984	$868,984		
Appraisal fee			$934,242	$934,242
Environmental report	$1,019,387			
Property condition report		$182,410	$182,410	
Tax escrow deposit	$990,235			$990,235
Insurance escrow deposit			$639,414	
Replacement reserve deposit	$575,917	$575,917		
Utility deposits			$304,063	$304,063
Assumed vendor contracts credit	$790,768			
Tenant improvement credit		$1,118,570	$1,118,570	
Courier / wire fees	$603,321			$603,321
Municipal certificates			$100,788	
Purchase price	$864,335	$864,335		
Earnest money deposit			$445,989	$445,989
Real estate tax proration	$335,729			
Rent proration		$643,723	$643,723	
Security deposits assumed	$1,153,174			$1,153,174
Prepaid rents			$740,955	
Owner's title policy premium	$1,108,935	$1,108,935		
Lender's title policy premium			$1,056,773	$1,056,773
Escrow fee	$412,779			
Recording fees		$62,717	$62,717	
Transfer tax	$476,184			$476,184
Survey			$1,072,855	

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The property is walkable to transit, with 24 structured parking spaces shared between uses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $170,000 or approximately 12.87 per square foot, with real estate taxes representing the largest line item.

Financial Analysis

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 8 structured parking spaces shared between uses. Debt service coverage ratio was 8.10x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The property is walkable to transit, with 39 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $133,000 or approximately 25.23 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.51x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

Financial Analysis

Debt service coverage ratio was 7.17x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $232,000, representing a 13.7% increase over the prior year. The property is walkable to transit, with 2 structured parking spaces shared between uses.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 48 structured parking spaces shared between uses. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $136,000, representing a 10.6% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$124,740,000			
Tenant improvement credit		$657,288	$657,288	
Courier / wire fees	$114,806			$114,806
Municipal certificates			$1,153,408	
Purchase price	$459,315	$459,315		
Earnest money deposit			$679,176	$679,176
Real estate tax proration	$68,536			
Rent proration		$376,729	$376,729	
Security deposits assumed	$685,700			$685,700
Prepaid rents			$309,449	
Owner's title policy premium	$1,150,834	$1,150,834		
Lender's title policy premium			$237,997	$237,997
Escrow fee	$902,045			
Recording fees		$1,040,913	$1,040,913	
Transfer tax	$834,797			$834,797
Survey			$1,165,724	
Legal fees - Buyer	$557,722	$557,722		
Legal fees - Seller			$848,503	$848,503
Broker commission	$494,940			
Loan origination fee		$608,810	$608,810	
Lender legal	$307,077			$307,077
Appraisal fee			$46,432	
Environmental report	$602,375	$602,375		
Property condition report			$153,503	$153,503
Tax escrow deposit	$416,165			
Insurance escrow deposit		$1,158,649	$1,158,649	
Replacement reserve deposit	$848,314			$848,314
Utility deposits			$511,321	

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Income and Expense Review

Operating expenses totaled $116,000 or approximately 19.78 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.61x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $173,000, representing a 4.5% increase over the prior year. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.14% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The going-in capitalization rate of 6.83% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Effective gross income for the trailing period was $252,000, representing a 3.6% increase over the prior year. Operating expenses totaled $168,000 or approximately 43.26 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $462,000, representing a 7.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $144,000, representing a 8.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Income and Expense Review

The going-in capitalization rate of 5.04% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Operating expenses totaled $17,000 or approximately 21.15 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.54x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$124,740,000			
Recording fees		$360,532	$360,532	
Transfer tax	$55,420			$55,420
Survey			$1,189,549	
Legal fees - Buyer	$187,963	$187,963		
Legal fees - Seller			$1,045,660	$1,045,660
Broker commission	$302,908			
Loan origination fee		$1,019,299	$1,019,299	
Lender legal	$800,712			$800,712
Appraisal fee			$937,666	
Environmental report	$898,905	$898,905		
Property condition report			$103,993	$103,993
Tax escrow deposit	$623,564			
Insurance escrow deposit		$1,235,008	$1,235,008	
Replacement reserve deposit	$1,141,071			$1,141,071
Utility deposits			$630,149	
Assumed vendor contracts credit	$633,067	$633,067		
Tenant improvement credit			$269,677	$269,677
Courier / wire fees	$842,325			
Municipal certificates		$405,810	$405,810	
Purchase price	$800,220			$800,220
Earnest money deposit			$1,132,270	
Real estate tax proration	$239,774	$239,774		
Rent proration			$835,674	$835,674
Security deposits assumed	$229,153			
Prepaid rents		$888,411	$888,411	
Owner's title policy premium	$787,952			$787,952
Lender's title policy premium			$723,327	

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Financial Analysis

The property is walkable to transit, with 17 structured parking spaces shared between uses. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $358,000 or approximately 41.97 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $58,000, representing a 3.0% increase over the prior year.

The going-in capitalization rate of 8.14% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 6.12x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. The going-in capitalization rate of 5.99% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Operating expenses totaled $376,000 or approximately 11.31 per square foot, with real estate taxes representing the largest line item.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 11 structured parking spaces shared between uses. Debt service coverage ratio was 6.92x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $199,000, representing a 6.9% increase over the prior year.

Financial Analysis

Effective gross income for the trailing period was $16,000, representing a 3.0% increase over the prior year. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.83% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$124,740,000			
Insurance escrow deposit		$1,096,173	$1,096,173	
Replacement reserve deposit	$599,226			$599,226
Utility deposits			$540,478	
Assumed vendor contracts credit	$306,977	$306,977		
Tenant improvement credit			$975,269	$975,269
Courier / wire fees	$431,675			
Municipal certificates		$628,197	$628,197	
Purchase price	$952,251			$952,251
Earnest money deposit			$1,214,921	
Real estate tax proration	$408,396	$408,396		
Rent proration			$686,095	$686,095
Security deposits assumed	$1,227,056			
Prepaid rents		$795,770	$795,770	
Owner's title policy premium	$338,955			$338,955
Lender's title policy premium			$676,059	
Escrow fee	$766,815	$766,815		
Recording fees			$503,752	$503,752
Transfer tax	$1,158,898			
Survey		$354,520	$354,520	
Legal fees - Buyer	$420,491			$420,491
Legal fees - Seller			$975,414	
Broker commission	$1,014,625	$1,014,625		
Loan origination fee			$34,425	$34,425
Lender legal	$528,683			
Appraisal fee		$206,807	$206,807	
Environmental report	$1,242,753			$1,242,753
Property condition report			$745,375	

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Operating Performance

Operating expenses totaled $377,000 or approximately 20.53 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 23 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Operating expenses totaled $379,000 or approximately 39.92 per square foot, with real estate taxes representing the largest line item. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 7.87% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses.

Financial Analysis

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. Operating expenses totaled $428,000 or approximately 17.77 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 46 structured parking spaces shared between uses. Debt service coverage ratio was 5.84x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Financial Analysis

The property is walkable to transit, with 27 structured parking spaces shared between uses. The going-in capitalization rate of 6.42% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $176,000 or approximately 34.07 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 9 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $438,000, representing a 6.6% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$124,740,000			
Prepaid rents		$499,584	$499,584	
Owner's title policy premium	$1,185,678			$1,185,678
Lender's title policy premium			$829,576	
Escrow fee	$450,585	$450,585		
Recording fees			$859,728	$859,728
Transfer tax	$709,104			
Survey		$285,749	$285,749	
Legal fees - Buyer	$1,138,826			$1,138,826
Legal fees - Seller			$1,016,314	
Broker commission	$949,154	$949,154		
Loan origination fee			$1,089,312	$1,089,312
Lender legal	$504,998			
Appraisal fee		$902,833	$902,833	
Environmental report	$117,615			$117,615
Property condition report			$161,028	
Tax escrow deposit	$1,088,593	$1,088,593		
Insurance escrow deposit			$936,510	$936,510
Replacement reserve deposit	$150,245			
Utility deposits		$392,708	$392,708	
Assumed vendor contracts credit	$554,420			$554,420
Tenant improvement credit			$627,241	
Courier / wire fees	$778,878	$778,878		
Municipal certificates			$695,849	$695,849
Purchase price	$445,032			
Earnest money deposit		$777,202	$777,202	
Real estate tax proration	$83,494			$83,494
Rent proration			$87,133	

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Income and Expense Review

Debt service coverage ratio was 7.86x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $51,000, representing a 10.7% increase over the prior year. Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Debt service coverage ratio was 7.99x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 22 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $49,000, representing a 10.7% increase over the prior year. Operating expenses totaled $98,000 or approximately 15.22 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Effective gross income for the trailing period was $260,000, representing a 10.8% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 11 structured parking spaces shared between uses. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Operating expenses totaled $63,000 or approximately 10.74 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

The property is walkable to transit, with 9 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $425,000, representing a 12.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

The going-in capitalization rate of 6.88% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $229,000 or approximately 6.84 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$124,740,000			
Appraisal fee		$332,627	$332,627	
Environmental report	$300,095			$300,095
Property condition report			$112,152	
Tax escrow deposit	$367,479	$367,479		
Insurance escrow deposit			$658,963	$658,963
Replacement reserve deposit	$996,140			
Utility deposits		$892,949	$892,949	
Assumed vendor contracts credit	$1,060,037			$1,060,037
Tenant improvement credit			$1,184,479	
Courier / wire fees	$220,913	$220,913		
Municipal certificates			$601,569	$601,569
Purchase price	$65,464			
Earnest money deposit		$353,356	$353,356	
Real estate tax proration	$240,124			$240,124
Rent proration			$688,109	
Security deposits assumed	$407,078	$407,078		
Prepaid rents			$85,789	$85,789
Owner's title policy premium	$61,129			
Lender's title policy premium		$764,260	$764,260	
Escrow fee	$731,450			$731,450
Recording fees			$293,579	
Transfer tax	$1,095,897	$1,095,897		
Survey			$590,910	$590,910
Legal fees - Buyer	$854,701			
Legal fees - Seller		$634,892	$634,892	
Broker commission	$1,019,015			$1,019,015
Loan origination fee			$412,937	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Pelican Prairie Market Lofts Owner LLC

By: Susan Nguyen Title: Managing Member Date: 07/27/2022

_____

Ironclad Wine Bar

By: Jerome Quinn Title: Managing Member Date: 07/27/2022

Exhibit A - Property

Pelican Prairie Market Lofts, 3066 Technology Road, Cleveland, OH 61715. Parcel containing approximately 2.92 acres, together with all improvements thereon.

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